

24STCV28969 24STCV28969

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MOTION

FOR SUMMARY JUDGMENT

The Court

tenders the following tentative decision in the matter CRV Classic

Properties, L.P. v. You, Me and Sciences, Inc., et al., Los Angeles County

Superior Court case number 24STCV28969, set for hearing on September 9, 2026. CRV

Classic Properties, L.P. (Plaintiff) moves for summary judgment in its favor against

Jessica Lesley (Defendant). Defendant opposes the motion. The Court sets a

briefing schedule for supplemental filings and continues the hearing on this motion.

A.

Legal

Standard

The function of a motion for summary judgment or

adjudication is to allow a determination as to whether an opposing party can

show evidentiary support for a claim or defense and if not to enable an order

of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code

of Civil Procedure Section 437c, subdivision (c) "requires the trial judge to

grant summary judgment if all the evidence submitted, and 'all inferences

reasonably deducible from the evidence' and uncontradicted by other inferences

or evidence, show that there is no triable issue as to any material fact and

that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7

Cal.App.4th 1110, 1119.)

As to each claim as framed by the complaint, a plaintiff

“has met that party’s burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action.” (Id., § 437c, subd.

(p)(1).) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold

Worldwide, Inc. (2006) 39 Cal.4th 384, 389 (Dore).) Once the plaintiff has met that burden, the burden shifts to the opposing defendant “to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

B. Discussion

Plaintiff argues that it is entitled to summary judgment against Defendant because no triable issues of material fact remain. Plaintiff’s complaint states the following causes of action against Defendant: (1) breach of personal guaranty and (2) common count. To obtain summary judgment Plaintiff must first meet its initial burden of proving each element of the causes of action alleged against Defendant.

With respect to Plaintiff’s breach of personal guaranty claim, Plaintiff must demonstrate that it has proven the required elements of a breach of contract claim. A breach of contract claim requires the plaintiff to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) Here, Plaintiff presents evidence that it entered a loan agreement with Defendant You, Me and Sciences, Inc. (YMS), personally guaranteed by Defendant. (Plaintiff’s Separate Statement (PSS) ¶¶ 1, 11; Esposito Decl. ¶¶ 6, 16.) It presents further evidence that it performed its obligations under the agreement. (PSS ¶ 13; Esposito Decl. ¶ 18.) And it offers evidence that Defendant defaulted on her guaranty by failing to pay the balance and interest on the note when YMS defaulted. (PSS ¶ 14; Esposito Decl. ¶ 19.) Plaintiff has suffered damages in the amount of \$354,314.58 plus interest as a result. (PSS ¶ 16; Esposito Decl. ¶ 21.) Thus, Plaintiff has met its initial burden of demonstrating that it is entitled to judgment as a matter of law as to its breach of guaranty action against Defendant.

With respect to Plaintiff's claim for common counts, Plaintiff must show "(1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment." (Farmers Ins. Exchange v. Zerín (1997) 53 Cal.App.4th 445, 460.) Here, Plaintiff offers evidence that Defendant owes it a sum certain. (PSS ¶ 16; Esposito Decl. ¶ 21.) And consideration exists pursuant to Civil Code section 2792 because the guaranty was executed at the same time as the underlying loan: "Where a suretyship obligation is entered into at the same time with the original obligation, or with the acceptance of the latter by the creditor, and forms with that obligation a part of the consideration to him, no other consideration need exist." (Civ. Code, § 2792.) Additionally, Plaintiff has demonstrated that Defendant has failed to pay pursuant to the guaranty agreement. (PSS ¶ 15; Esposito Decl. ¶ 21.) Thus, Plaintiff has met its initial burden of demonstrating that it is entitled to judgment as a matter of law as to all causes of action asserted against Defendant.

The burden thus shifts to Defendant to demonstrate some triable issue of material fact. First, Defendant notes that Plaintiff has not yet obtained judgment against the principal, YMS. But a plaintiff is not required to first obtain judgment against the principal before suing the guarantor. (See Coppola v. Superior Court (1989) 211 Cal.App.3d 848, 865–866.) Even if Plaintiff's representation that it has obtained judgment against YMS is now false due to the default against YMS having been set aside since the filing of this motion, that does not prevent Plaintiff from seeking to hold Defendant liable for the guaranty. Thus, while whether judgment has been obtained against YMS is subject to dispute, it does not constitute a material fact.

Second, Defendant argues that the surety agreement is unconstitutional due to the high default interest rate of 29.99%. Generally, interest rates of over 10% are forbidden. (Cal. Const. Art. XV, § 1.) However, exemptions exist for certain financial institutions which arrange loans, including licensed real estate brokers. (Ibid.) Plaintiff asserts that the underlying loan was arranged by a licensed real estate broker. (PSS ¶ 4; Esposito Decl. ¶ 9.) However, in doing so Plaintiff references Exhibit 2, a deed of trust, which includes no mention of the alleged licensed real estate broker. Indeed, Defendant challenges this factual assertion, noting that no evidence of the broker's involvement has been proffered. The Court finds that this constitutes a triable issue of material fact. If Defendant can demonstrate that the surety agreement was not a loan "made or arranged by any person licensed as a real

estate broker by the State of California,” then the constitutional prohibition on interest rates above 10% would apply. (Cal. Const. Art. XV, § 1.) Indeed, this prohibition also applies to provisions which constitute higher interest rates masquerading as fees. (G Companies Management, LLC v. LREP Arizona, LLC (2023) 88 Cal.App.5th 342, 351–352.) Thus, at this time it appears there is a triable issue of material fact as to whether the alleged underlying loan and surety obligation are unconstitutional through the listed interest rate and lack of any licensed real estate broker participating in the transaction.

At the hearing, Plaintiff represented that it could establish the participation of a broker in the transaction.

The Court agreed to consider supplemental materials and set the following schedule: Plaintiff's supplemental filing by September 23, Defendant's opposition by October 7 and a further hearing at 8:30 a.m. on October 14, 2026.